

The dollar remains supported as September FOMC minutes showed a Fed firmly expecting to hike the policy rate again later in the year. French debt markets are still unsettled and EUR/USD remains fragile. Expect more focus on political events in Paris today and also on Bank of England speakers, where centrists could turn more hawkish

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## ⬆️ USD: Clean, hawkish read from the FOMC minutes

September FOMC minutes published last night reflect a hawkish Fed. One sentence which caught our eye was: "Most participants assessed that another increase in the target range for the federal funds rate would likely be appropriate by year-end." This followed a discussion of frustratingly high inflation and the Fed being surprised about the pace and magnitude of the AI build-out. Notably, most references to the AI investment boom were associated with an inflationary impulse.

But a hawkish Fed is firmly priced by money markets at this stage. After an expected 25bp hike to 4.25% in December, the market still looks for another 50bp of tightening next year. We think that is too aggressive, but doubt the market will want to fight against that hawkish pricing this year.

This leaves the dollar well-supported and winning more friends in a slightly more difficult investment environment. Here, elevated Treasury yields and rising volatility have sucked money out of the carry trade, where most Latam currencies have been hit quite hard. Given events in Europe, we're looking for the dollar to hold onto gains over the coming months. Additionally, the US 10-year

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Treasury could shorten the duration of its issuance to protect the long end. While that seems rational, investors did not like the fact that this could alleviate pressure on politicians to act. We are hence left with Marine Le Pen's [questionable plans for fiscal consolidation next year](#) and the current government's proposal for some [modest fiscal consolidation](#). The debate on the latter may only get started on 13 October, suggesting little stability for French bonds at this stage.

EUR/USD is very much being dragged around by the performance of those French sovereign bonds, OATs, and we continue to favour a

dip to the 1.1100/1120 area, where more support may be found.

Chris Turner

## ➔ **GBP: BoE centrists ready to hike?**

EUR/GBP has been dragged lower by developments in France and the extra risk premium being built into the euro. But sterling could start to receive some support from Bank of England policy should it look like the BoE is ready to fall in with other central banks and hike rates. After some hawkish speakers earlier in the day, the market will be watching centrist speakers Andrew Bailey and Claire Lombardelli. Any suggestion that they are ready to cross the

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Graphix's press conference today, markets are pricing just under two hikes by year-end and 110bp of tightening in total, setting a high bar for a hawkish message. We expect the governor to emphasise September's softer core inflation and new government measures aimed at easing price pressures. Although the NBP is likely to keep the door open to future hikes, current pricing limits its scope to sound markedly hawkish. We therefore expect hawkish expectations to be pared back, with a steepening bias in rates and renewed pressure on the zloty. EUR/PLN has stabilised around 4.360-4.380 in recent weeks, but yesterday's shift back to risk-off

sentiment, combined with a dovish NBP message, should push the pair towards 4.380-4.400.

The National Bank of Romania is expected to leave rates unchanged at 6.50% today, with attention focused on its FX comments. EUR/RON has seen unusual volatility over the past two weeks and yesterday tested fresh highs just below 5.355. Pressure reflects political uncertainty over the formation of a new government and last week's speculation about a possible rating downgrade. Although the rating was affirmed, inconclusive coalition talks continue to cloud next year's budget and the fiscal-consolidation outlook, both key concerns for rating agencies. FX

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